

The Hidden Payroll Tax Leak

How salary miscalculations silently compound into thousands in lost savings

In this report:

- ✓ How S-Corp payroll tax savings actually work — and where they break down
- ✓ Why overpaying salary is often more costly than underpaying
- ✓ The math behind compounding payroll tax leakage over time
- ✓ Four salary mistakes that keep the leak running year after year
- ✓ How to quickly estimate whether you have a leak — and how large it may be

by Barry Roach Jr., EA

Business IQ Edge LLC

INTRODUCTION

Most S-Corp owners know they formed the entity to save on payroll taxes. What most of them do not know is whether it is actually working.

The payroll tax savings from an S-Corp are real — but they are not automatic. They depend entirely on one variable: your salary. Set it correctly and the savings compound quietly in your favor. Set it wrong and the leak runs just as quietly in the opposite direction.

The problem with payroll tax leakage is that it leaves no immediate fingerprints. There is no error message, no notice, no obvious sign that something is wrong. You simply pay more than necessary, year after year, until someone runs the numbers.

This report explains how the leak works, how to identify it, and how much it may have already cost you.

HOW THE S-CORP PAYROLL TAX SAVINGS ACTUALLY WORK

To understand the leak, you need to understand the math behind the savings.

As a sole proprietor, self-employment tax applies to all net profit at 15.3% (up to the Social Security wage base, then 2.9% above it). If your business earns \$150,000 in net profit, you pay SE tax on the full \$150,000.

As an S-Corp owner, only your salary is subject to FICA taxes. Remaining profit flows as distributions — which pass through to your personal return as ordinary income, but without the payroll tax layer.

The savings calculation is straightforward:

- 1. Determine your reasonable salary**

This is the market-rate compensation for the services you perform.

- 2. Calculate the distributions**

Net profit minus salary minus business expenses equals the distribution amount.

- 3. Apply the payroll tax rate to distributions**

Every dollar routed through distributions rather than salary avoids the FICA tax.

If your reasonable salary is \$80,000 and your net profit is \$180,000, you have \$100,000 in distributions avoiding payroll tax. At 15.3%, that is approximately \$15,300 in annual savings.

That math works when the salary is set correctly. When the salary is too high, the savings shrink — and every excess dollar of salary costs you roughly \$0.15 in unnecessary payroll taxes.

The Core Equation

S-Corp Payroll Tax Savings = (Net Profit – Reasonable Salary) × 15.3%. Every dollar of excess salary reduces this number. An overpaid salary of \$20,000 above market rate costs approximately \$3,086 in unnecessary payroll taxes every year.

THE OVERPAYMENT PROBLEM — THE LEAK MOST OWNERS MISS

Most conversations about S-Corp salary mistakes focus on underpayment — the risk of paying yourself too little and drawing IRS scrutiny. But the more common, and less discussed, mistake is overpayment.

Overpayment happens for a few reasons. Some owners believe a higher salary is 'safer.' Some set a salary early and never adjusted it as their business grew more profitable (meaning distributions grew larger, but the salary stayed the same relative size). Some used a percentage formula that produces a higher number than market rate justifies.

None of these owners think they have a problem. The payroll is running. The taxes are being paid. No one has flagged anything.

But the leak is running. Every payroll period, they are paying FICA taxes on wages above what their role actually commands in the market.

Real-World Example

A technology consultant's business generates \$220,000 in net profit. She pays herself \$120,000 — a number that felt reasonable when she set it three years ago. A proper role-based compensation analysis places her reasonable salary at \$88,000. The difference: \$32,000 per year in excess salary. At the effective payroll tax rate, that is approximately \$4,896 in unnecessary FICA taxes per year. Over four years: more than \$19,000. The leak ran silently because no one ran the numbers.

THE COMPOUNDING EFFECT OVER TIME

Payroll tax leakage does not feel significant in any given payroll period. It becomes significant when you look at the cumulative impact.

Here is a simple illustration using a \$15,000 annual overpayment in salary:

- Annual excess payroll tax cost: approximately \$2,295
- 3-year cumulative cost: approximately \$6,885
- 5-year cumulative cost: approximately \$11,475
- 10-year cumulative cost: approximately \$22,950

Now consider what that money could have done if routed as a distribution instead. Distributions are still taxable as ordinary income — but they avoid the payroll tax layer. That \$2,295 per year, invested consistently, compounds into a meaningful difference over a decade.

Most S-Corp owners who have been operating for several years and have never had a compensation analysis are sitting on a cumulative overpayment that would surprise them. Not catastrophically — but meaningfully.

The Invisible Drain

Unlike a billing error or a missed deduction, payroll tax leakage never appears on a statement as a problem. It looks exactly like normal payroll — because it is normal payroll. The only way to find it is to compare what you are paying against what is actually required.

THE UNDERPAYMENT SIDE — A DIFFERENT KIND OF LEAK

While overpayment is the more common problem, underpayment carries a different and more serious risk profile.

An unreasonably low salary saves payroll taxes in the short run. But it creates several downstream liabilities:

- IRS recharacterization risk: if examined, distributions may be reclassified as wages, with back FICA taxes, interest, and penalties applied retroactively
- Reduced retirement plan limits: contribution limits for many retirement plans are calculated as a percentage of W-2 wages — an artificially low salary caps how much you can shelter
- QBI deduction complications: the Section 199A deduction has wage-based limitations for certain service businesses that a too-low salary can trigger prematurely
- Documentation exposure: if you cannot explain how you determined your salary was reasonable, you have no defense in an examination

The short-term savings from underpaying salary are real. The long-term cost — if the IRS examines the return and disagrees — is far larger. And unlike overpayment, underpayment is not just a cost. It is a liability.

FOUR SALARY MISTAKES THAT KEEP THE LEAK RUNNING

Mistake 1: Setting Salary Once and Never Reviewing It

A salary that was reasonable in Year 1 may be meaningfully off in Year 4. Businesses grow. Roles expand. Market wages shift. An owner who set their salary at launch and has never revisited it is almost certainly operating with an outdated number — and the direction of the error is unpredictable.

Annual review takes a fraction of the time of setting the salary originally. It either confirms the number is still appropriate — which is documentation in itself — or it identifies a needed adjustment before years of leakage accumulate.

Mistake 2: Using Profit as the Reference Point

Salary should reflect market-rate compensation for your services — not a percentage of your profit. A business that was marginally profitable at \$70,000 net profit and paid an \$40,000 salary does not automatically need to raise that salary to \$80,000 just because profit grows to \$200,000.

The salary reflects what you would pay someone to do your job. Profit fluctuations are not part of that calculation. Using profit as the primary reference almost always produces a wrong number.

Mistake 3: Confusing 'Comfortable' With 'Correct'

Some owners pay themselves whatever amount covers their personal needs and lifestyle — then call it their salary. This is a cash flow decision, not a compensation decision. The IRS does not care whether your salary covers your mortgage. They care whether it reflects your market value.

Mistake 4: Assuming the Accountant Validated It

Most tax professionals file the return based on the payroll records provided. Reviewing whether the salary is reasonable — actually comparing it to market data for the owner's specific roles — is a separate analysis that most return preparers do not perform unless specifically asked.

If you have never specifically requested a compensation review, it is unlikely one has been done. The return being filed correctly is not the same as the salary being correct.

Real-World Example

A real estate agent operating through an S-Corp paid himself \$48,000 for three consecutive years. He assumed this was fine because his accountant had never raised concerns. When he asked for a compensation review as part of a broader tax planning engagement, the analysis placed his reasonable salary at \$68,000 — and also identified that at \$48,000, he was leaving significant retirement contribution capacity unused. Both problems had been running quietly for three years.

HOW TO ESTIMATE WHETHER YOU HAVE A LEAK

You do not need a full compensation analysis to get a rough sense of whether your salary is likely off. A few questions help frame it:

- If you hired someone to do your job — all of your roles, not just the primary one — what would you have to pay them in your market?
- Has your salary changed in the past two years? Has your role or your business's profitability changed significantly?
- Did you set your salary based on a formula, a friend's number, or a feeling rather than actual market research?
- Is your salary meaningfully above or below a round number that was chosen for convenience rather than analysis?

If those questions surface uncertainty, the S-Corp Salary Stress Test at businessiqedge.com/stresstest lets you run a quick diagnostic. It is not a substitute for a full analysis, but it gives you a useful reference point for whether a deeper review makes sense.

SUMMARY

Payroll tax leakage is one of the most common and least visible problems in S-Corp planning. It runs silently, compounds over time, and leaves no obvious indication that anything is wrong.

The leak comes in two forms: overpayment (paying more FICA than your role requires, year after year) and underpayment (creating audit exposure and capping downstream benefits). Both are caused by the same root issue — a salary set without market data and never reviewed.

The good news is that the leak is fixable. A proper compensation analysis identifies whether the current salary is within a defensible range, provides documentation to support it, and often reveals meaningful savings that have been running in reverse for years.

Ready to Take the Next Step?

Run the S-Corp Salary Stress Test to get a quick estimate of how your current salary compares to typical scenarios for your income level. It takes a few minutes and gives you a useful starting point.

businessiqedge.com/stresstest

DISCLAIMER

This report is provided for educational and informational purposes only. It is not legal advice, tax advice, accounting advice, or financial advice for your specific situation. Every business owner's facts are different. Consult your own qualified tax professional, accountant, or attorney before making any tax or legal decisions.

Business IQ Edge LLC has made reasonable efforts to ensure the accuracy of the information in this report as of the date of publication. Tax laws and interpretations change. Business IQ Edge LLC disclaims any liability for actions taken or not taken based on the information in this report.